Syllabus Edition
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The Importance of Profit

Exam code: 0450, 0986 & 0264, 0774

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What is profit?

- **Profit is the difference between the total revenue and the total costs of a business**
- Most businesses have the **main objective of making a profit**
  - Profits help new businesses survive and break-even
  - It is a **reward** for risks taken by entrepreneurs and investors
  - For more established businesses, **profits can enable long-term growth**
- The simplest formula for calculating profit is:

$$\text{Profit} = \text{Sales Revenue} - \text{Total Costs}$$

- Profit can be categorised into **net profit and gross profit**
  - **Gross profit is the difference between the money received from selling goods or services and the cost of making or providing them**
    - It is calculated using the formula

$$\text{Gross Profit} = \text{Sales Revenue} - \text{Cost of Sales}$$

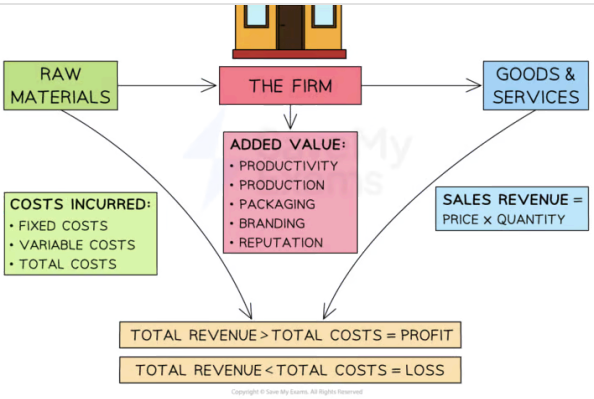
- **Net profit is the difference between the gross profit and all of the other business expenses**
  - It is calculated using the formula

$$\text{Net Profit} = \text{Gross Profit} - \text{Expenses}$$

- **Profit is the surplus** that remains after business costs have been subtracted from the total sales revenue
  - If **costs exceed revenue,** the business makes a **loss**

The process of making a profit

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it



How businesses make a profit

- Profit **can be increased using the following strategies:**
  - Increasing **sales revenues**
  - Reducing costs
  - A combination of increasing revenue and reducing costs

Examiner Tips and Tricks

Don't just say profit is a "reward" – in exams, show its wider importance, such as providing finance for growth, measuring success, and attracting investors

Why is profit important?

- **Profit is the financial reward**
  - That entrepreneurs receive in return for the risks they take
    - Business owners invest long hours, creativity, their own money and effort to make a successful business
- **Profit is a useful source of finance**
  - For example, **retained profit** can be used to fund the purchase of assets, pay bills and invest in research and development
- **Profit is an indicator of success**
  - Profit levels can be compared over time and with similar businesses to determine how well a business is performing
- **Profit attracts new investors**
  - Increasing profits suggest that a business is being run effectively and could be an **attractive investment**

Profit in the public and charity sector

such as serving the local community, profits are reinvested back into services such as education and healthcare
    - These profits, known as **surpluses**, are also used to improve quality and service efficiency

- **Social enterprises** also need to make a profit to survive, as they often have similar objectives to grow so that they can fund their social objectives

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